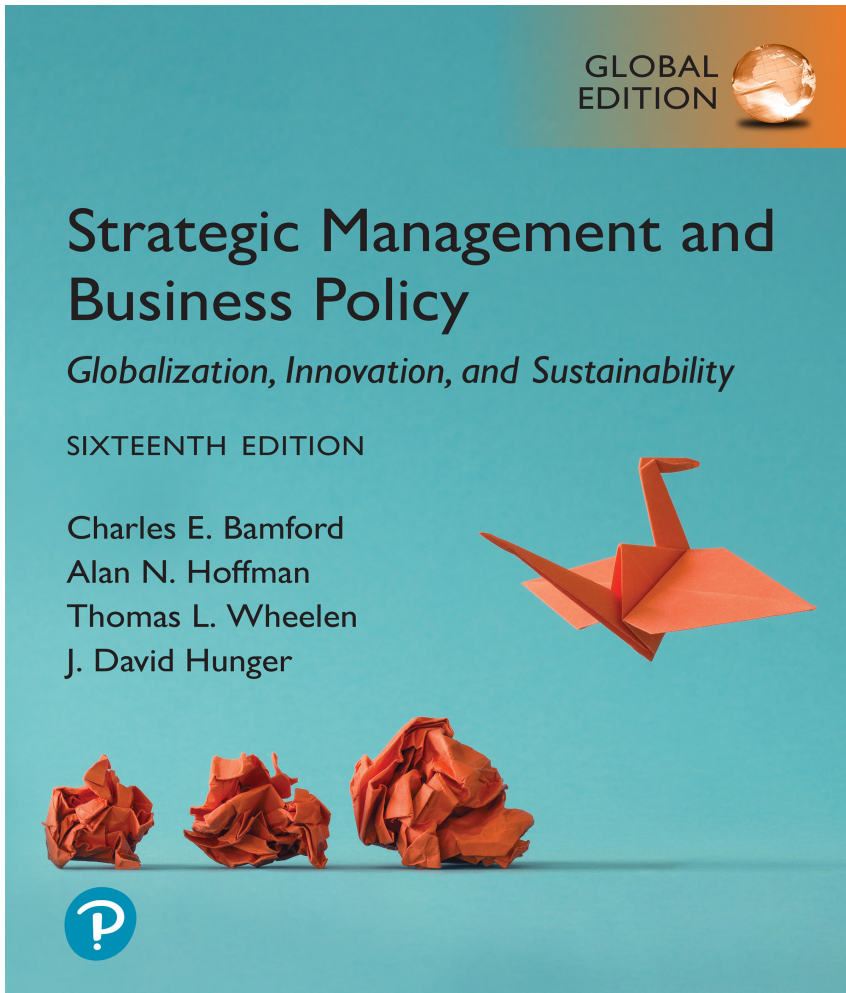


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 1

Basic Concepts of Strategic Management

Learning Objectives (1 of 2)

1.1 Discuss the benefits of strategic management

1.2 Explain how globalization, innovation, and environmental sustainability influence strategic management

1.3 Describe the basic model of strategic management and its components

Learning Objectives (2 of 2)

1.4 Identify some common triggering events that act as stimuli for strategic change

1.5 Explain strategic decision-making modes

1.6 Use the strategic audit as a method of analyzing corporate functions and activities

The Study of Strategic Management (1 of 2)

- **Strategic Management**
 - a set of managerial decisions and actions that determines the long-run performance of a corporation originally called business policy

The Study of Strategic Management (2 of 2)

Strategic management includes:

- Internal and external environmental scanning
- Strategy formulation
- Strategy implementation
- Evaluation and reassessment

Benefits of Strategic Management (1 of 3)

- The attainment of an **appropriate match**, or “**fit**,” between an organization’s environment and its strategy, structure, and processes has positive effects on the organization’s performance.
- **Strategic planning** becomes increasingly important as the environment becomes more unstable.

Benefits of Strategic Management (2 of 3)

- Clearer sense of strategic vision for the firm
- Sharper focus on what is strategically important
- Improved understanding of a rapidly changing environment

Benefits of Strategic Management (3 of 3)

Strategic planning can be formal or informal

- Informal strategic planning can begin with a few simple questions;
 - Where is the organization now?
 - If no significant changes are made, where will the organization be in one year? Two years? Five years? Ten years? Are the answers acceptable?
 - If the answers are not acceptable, what specific actions should management undertake? What are the risks and payoffs involved?

Impact of Globalization

- **Globalization**
 - the integrated internationalization of markets and corporations
 - has changed the way modern corporations do business
 - can be a new avenue to achieve competitive advantage
 - formal trade agreements also altered how international business was conducted

Impact of Innovation

- **Innovation**
 - describes new products, services, methods, and organizational approaches that allow the business to achieve extraordinary returns
- It is the implementation of potential innovations that truly drives businesses to be remarkable.

Impact of Sustainability (1 of 2)

- **Sustainability**
 - refers to the use of business practices to manage the triple bottom line

Impact of Sustainability (2 of 2)

The **triple bottom line** involves:

1. the management of traditional profit/loss
2. the management of the company's social responsibility
3. the management of its environmental responsibility

Basic Model of Strategic Management (1 of 10)

Strategic management consists of four basic elements:

1. Environmental analysis
2. Strategy formulation
3. Strategy implementation
4. Evaluation and reassessment

Figure 1-1

Basic Elements of the Strategic Management Process

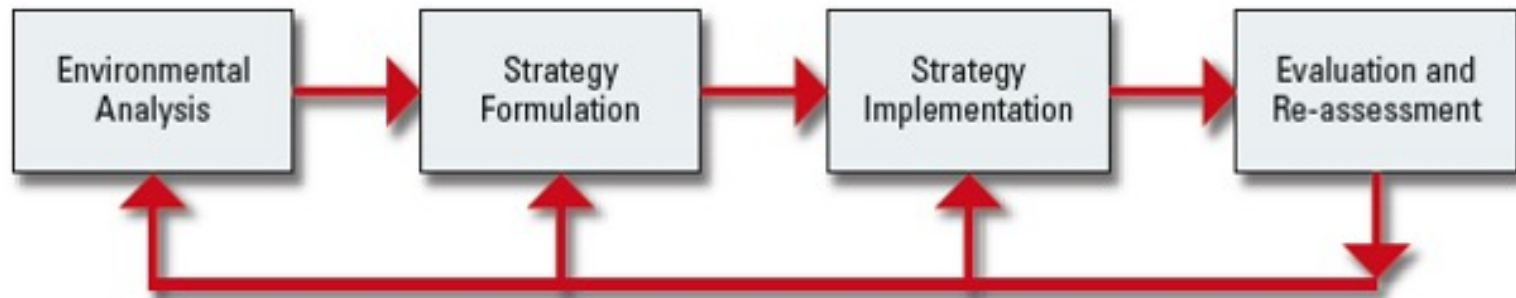
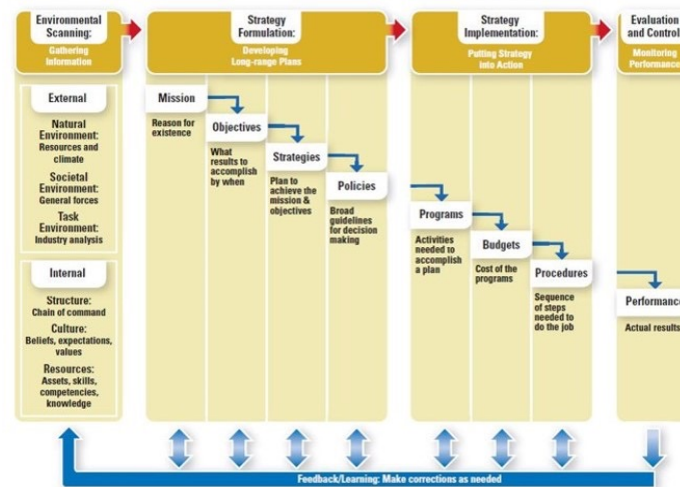


Figure 1-2

Strategic Management Model



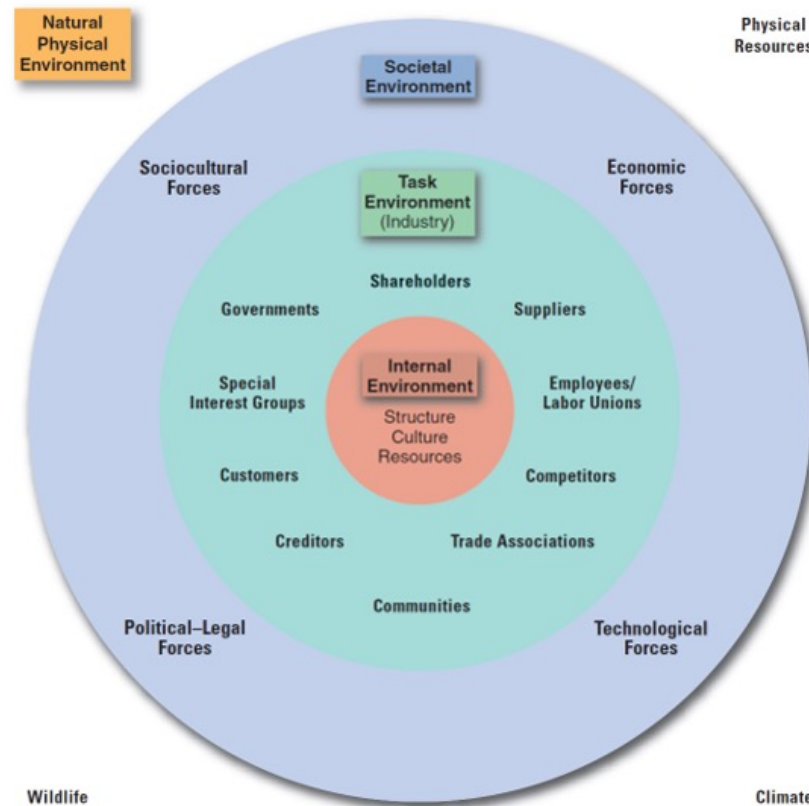
Source: T. L. Wheelen, "Strategic Management Model," adapted from "Concepts of Management," presented to Society for Advancement of Management (SAM), International Meeting, Richmond, VA, 1981. Kathryn E. Wheelen solely owns all of (Dr.) Thomas L. Wheelen's copyright materials. Kathryn E. Wheelen requires written reprint permission for each book that this material is to be printed in. Copyright © 1981 by T. L. Wheelen and SAM. Copyright © 1982, 1985, 1988, and 2005 by T. L. Wheelen and J. D. Hunger. Revised 1989, 1995, 1998, 2000, 2005, 2009, and 2013. Reprinted by permission of the copyright holders

Basic Model of Strategic Management (2 of 10)

- **Environmental Scanning**
 - the monitoring, evaluating and disseminating of information from the external and internal environments to key people within the organization
 - SWOT analysis: simple way to conduct environmental scanning

Figure 1-3

Environmental Variables



Basic Model of Strategic Management (3 of 10)

- **Strategy formulation**
 - process of investigation, analysis, and decision-making that provides the company with the criteria for attaining a competitive advantage
 - includes defining the competitive advantages of the business, crafting the corporate mission, specifying achievable objectives, and setting policy guidelines

Basic Model of Strategic Management (4 of 10)

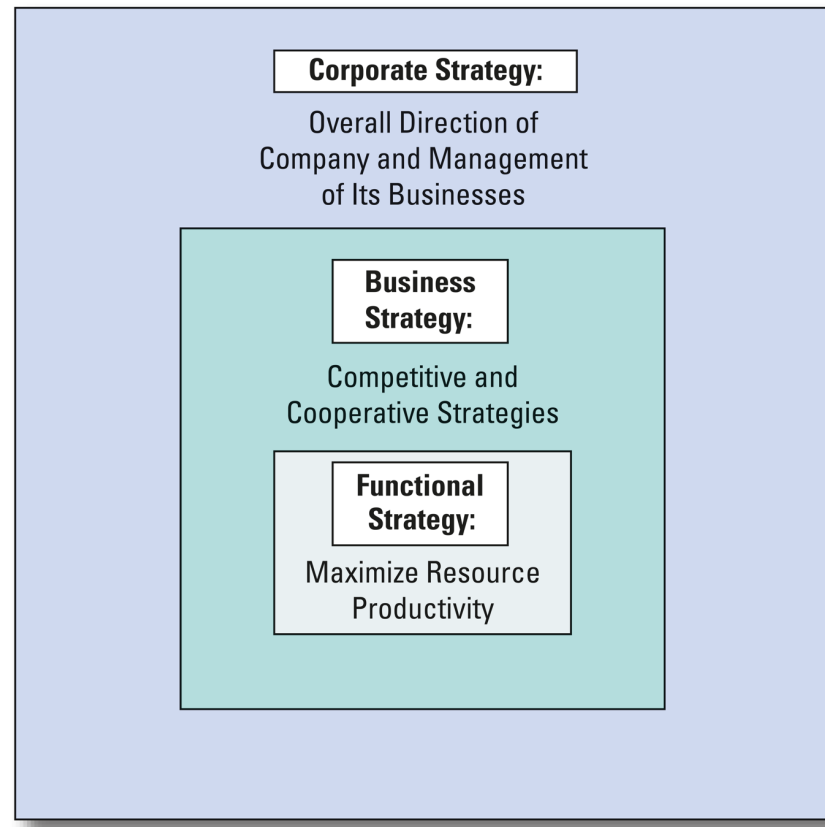
- **Mission**
 - purpose or reason for the organization's existence
- **Vision**
 - describes what the organization would like to become
- **Objectives**
 - results of planned activity

Basic Model of Strategic Management (5 of 10)

- **Strategy**
 - forms a comprehensive master approach that states how the corporation will achieve its mission and objectives
 - maximizes competitive advantage and minimizes competitive disadvantage corporate, business, functional

Figure 1-4

Hierarchy of Strategy



Basic Model of Strategic Management (6 of 10)

- **Policy**
 - a broad guideline for decision-making that links formulation of a strategy with its implementation

Basic Model of Strategic Management (7 of 10)

- **Strategy implementation**
 - process by which strategies and policies are put into action through the development of programs, budgets, and procedures
- **Program or tactic**
 - a statement of activities or steps needed to support a strategy

Basic Model of Strategic Management (8 of 10)

- **Budget**
 - A statement of an organization's programs in terms of dollars
- **Procedures**
 - a system of sequential steps that provide detailed instructions on how to complete a task
 - sometimes referred to as Standard Operating Procedures (SOP)

Basic Model of Strategic Management (9 of 10)

- **Evaluation and reassessment**
 - a process in which corporate activities and performance results are monitored so that actual performance can be compared with desired performance

Basic Model of Strategic Management (10 of 10)

- **Performance**
 - result of activities
 - includes actual outcomes of the strategic management process
- **Feedback/learning process**
 - revise or correct decisions based on performance

Initiation of Strategy: Triggering Events

- **Triggering event**
 - something that acts as a stimulus for a change in strategy and can include:
 - new CEO
 - external intervention
 - threat of change of ownership
 - performance gap
 - strategic inflection point

Strategic Decision-Making

Strategic decisions: deal with the long-term future of an entire organization and have three characteristics:

1. **Rare** - strategic decisions are unusual and typically have no precedent to follow.
2. **Consequential** - strategic decisions commit substantial resources and demand a great deal of commitment from people at all levels.
3. **Directive** - strategic decisions set precedents for lesser decisions and future actions throughout an organization.

Mintzberg's Modes of Strategic Decision-Making (1 of 2)

- **Entrepreneurial mode**
 - strategy is made by one powerful individual
- **Adaptive mode**
 - characterized by reactive solutions to existing problems, rather than a proactive search for new opportunities

Mintzberg's Modes of Strategic Decision-Making (2 of 2)

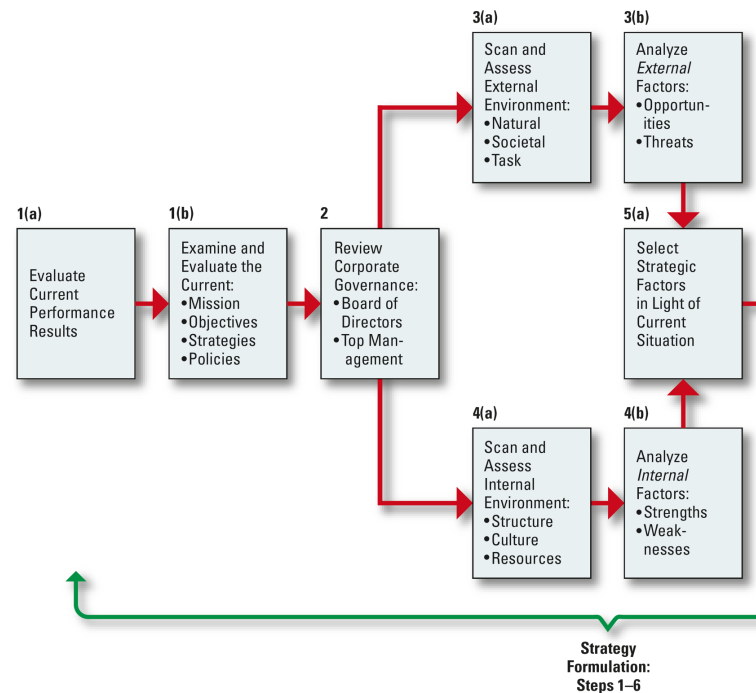
- **Planning mode**
 - involves the systematic gathering of appropriate information for situation analysis, the generation of feasible alternative strategies, and the rational selection of the most appropriate strategy
- **Logical incrementalism**
 - a synthesis of the planning, adaptive, and, to a lesser extent, the entrepreneurial modes

Strategic Decision-Making Process

1. Evaluate current performance results.
2. Review corporate governance.
3. Scan and assess the external environment.
4. Scan and assess the internal corporate environment.
5. Analyze strategic factors.
6. Generate, evaluate, and select the best alternative strategies.
7. Implement selected strategies.
8. Evaluate implemented strategies.

Figure 1-5 (1 of 2)

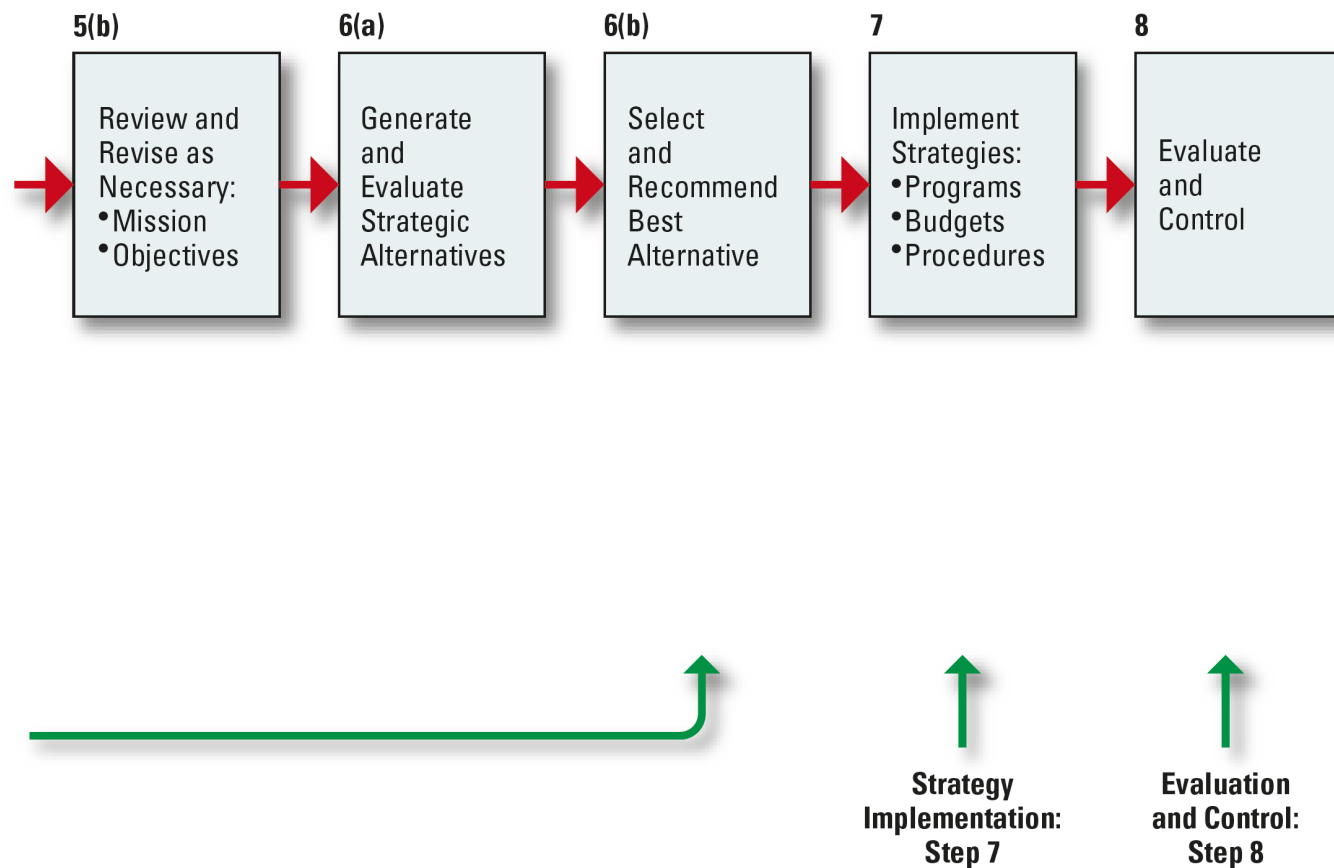
Strategic Decision-Making Process



Source: T. L. Wheelen and J. D. Hunger, “Strategic Decision-Making Process.” Copyright © 1994 and 1977 by Wheelen and Hunger Associates. Reprinted by permission

Figure 1-5 (2 of 2)

Strategic Decision-Making Process



The Strategic Audit: Aid to Strategic Decision-Making

- **Strategic audit**
 - provides a checklist of questions, by area or issue, that enables a systematic analysis to be made of various corporate functions and activities

Q & A